

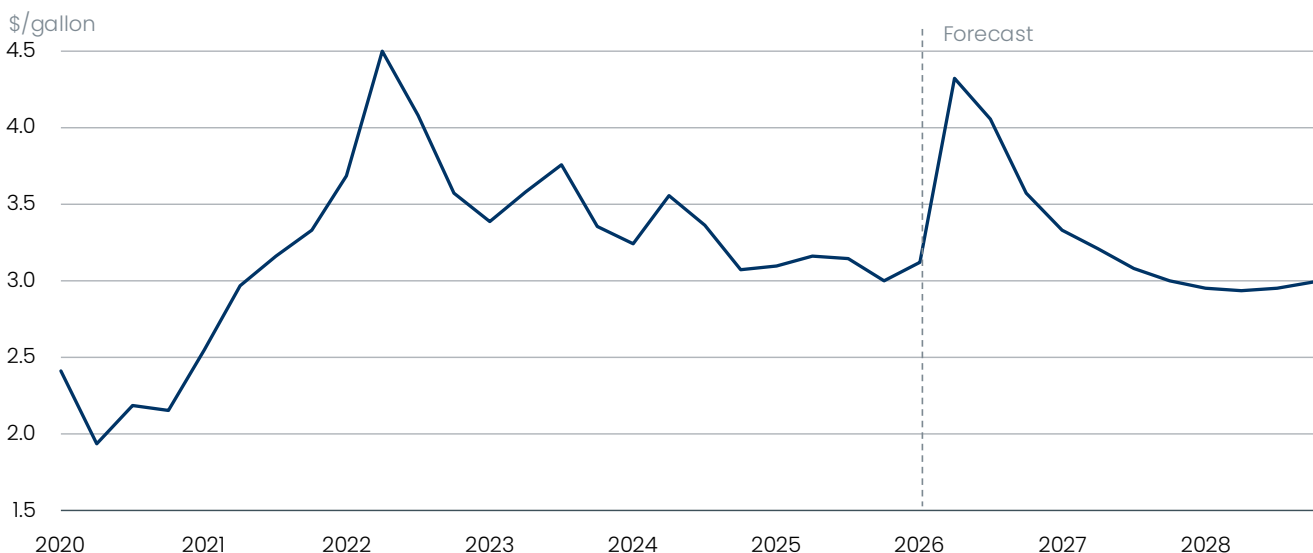
Iran peace talks offer cautious hope for an end to the war

- Momentum toward a potential US-Iran agreement appeared to build this week, but with oil prices likely to remain well above their pre-war levels over the rest of the year, consumers won't feel relief at the pump immediately. We expect that will keep a lid on real consumer spending growth through year-end.
- Domestic oil producers remain focused on efficiency and returns rather than expansion. However, the sharp drawdown in crude inventories since the war began sets up a mining production boost over the second half of the year.
- A potential end to the Iran conflict would reinforce our view that recent hawkish chatter is overdone. While the June Federal Open Market Committee meeting will sound hawkish, we expect the Federal Reserve to remain on hold through most of the year before delivering a cut in December. Services inflation is unlikely to accelerate, wage growth hasn't picked up despite a firmer labor market, and productivity is keeping unit labor costs in check.
- President Donald Trump's indication that he wouldn't reauthorize USMCA is a persistent headwind, not a worst-case outcome. The deal would enter rolling annual reviews, leaving USMCA-compliant goods exemptions intact. Still, tariffs on Canada and Mexico would stay in place indefinitely, and the added uncertainty would weigh on business investment.

News this week boosted the odds of our baseline scenario, which sees a peace deal signed within the next month or so and a gradual reopening of the Strait of Hormuz over the rest of the year. Reports suggest that the US and Iran may sign an agreement to reopen the Strait of Hormuz as early as next week at the G7 summit. Both parties are relatively coy on the details of the agreement, but an "agreement has never been closer," according to sources.

Chart 1: Gasoline prices to remain elevated in the near term

US: Retail gasoline price



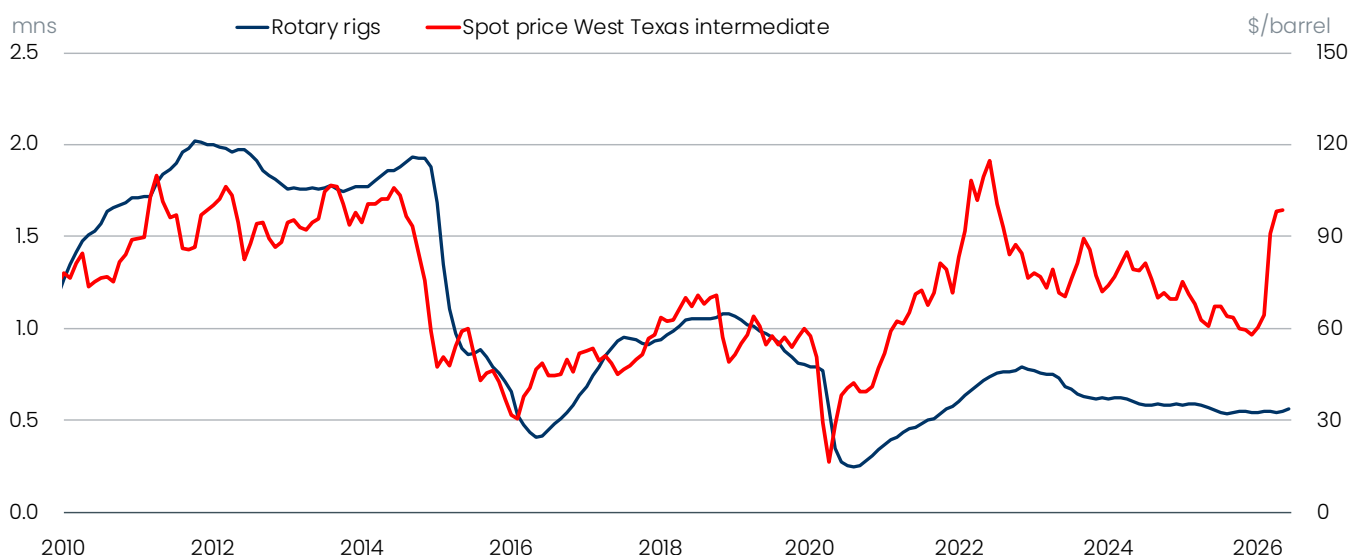
Sources: Oxford Economics, Haver Analytics

For the economy, immediate relief is unlikely, as global oil prices won't unwind instantly. Damaged or dormant production facilities will take time to restart, Iranian mines will need to be removed from the Strait of Hormuz, and normal through-traffic of ships won't immediately resume. This'll keep global oil prices and US gasoline prices elevated ([Chart 1](#)).

For domestic oil producers, the reaction continues to be one of running down inventories, not significantly expanding production. Most of the \$5bn surge in oil exports in April came from inventories while production expanded far more slowly. As we've [noted](#), producers have prioritized operational efficiency and shareholder returns over aggressive expansion in recent years. Capacity utilization rates have risen modestly, but the number of active oil rigs has barely budged ([Chart 2](#)).

Chart 2: Response to higher oil prices has been muted from domestic producers

US: Oil prices and rotary rig counts

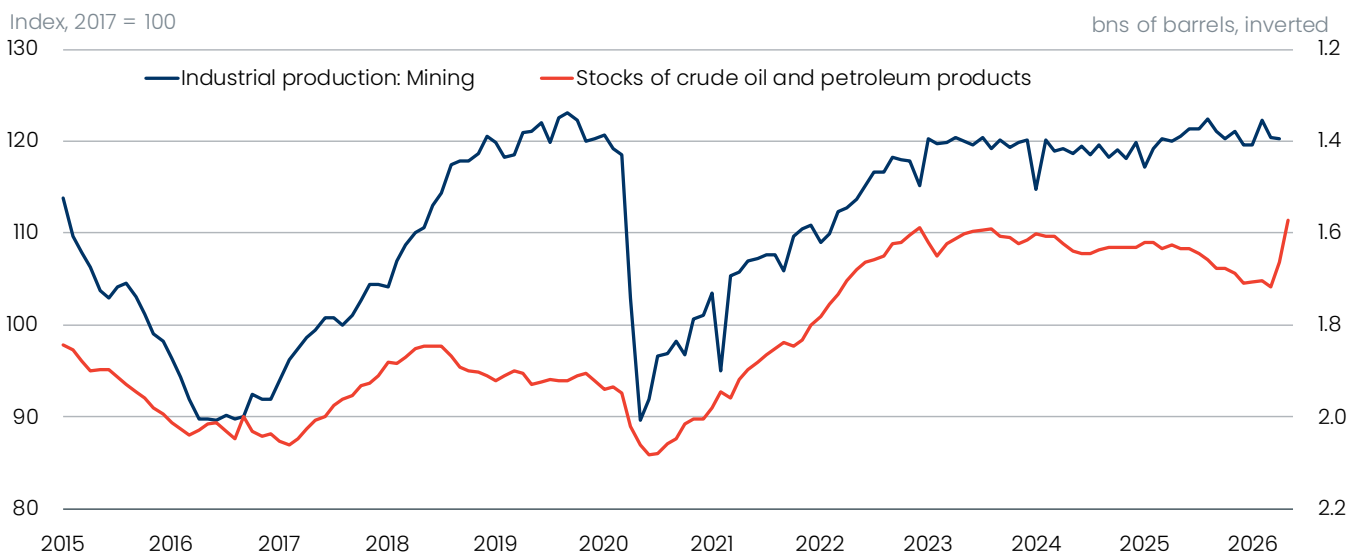


Sources: Oxford Economics, Haver Analytics

Domestic inventories of crude have declined by 10% since the start of the war and now sit at their lowest level since 2022. These inventories will need to be replaced, meaning industrial production in mining will get a boost over the rest of the year, even if production capacity doesn't markedly move higher ([Chart 3](#)). The upshot is that, combined with supportive fiscal policy, the AI buildout, and an inventory restocking cycle across sectors, the manufacturing sector is set for another year of growth.

Chart 3: A plunge in inventories will support mining production during the months ahead

US: Oil production and crude inventory



Sources: Oxford Economics, Haver Analytics

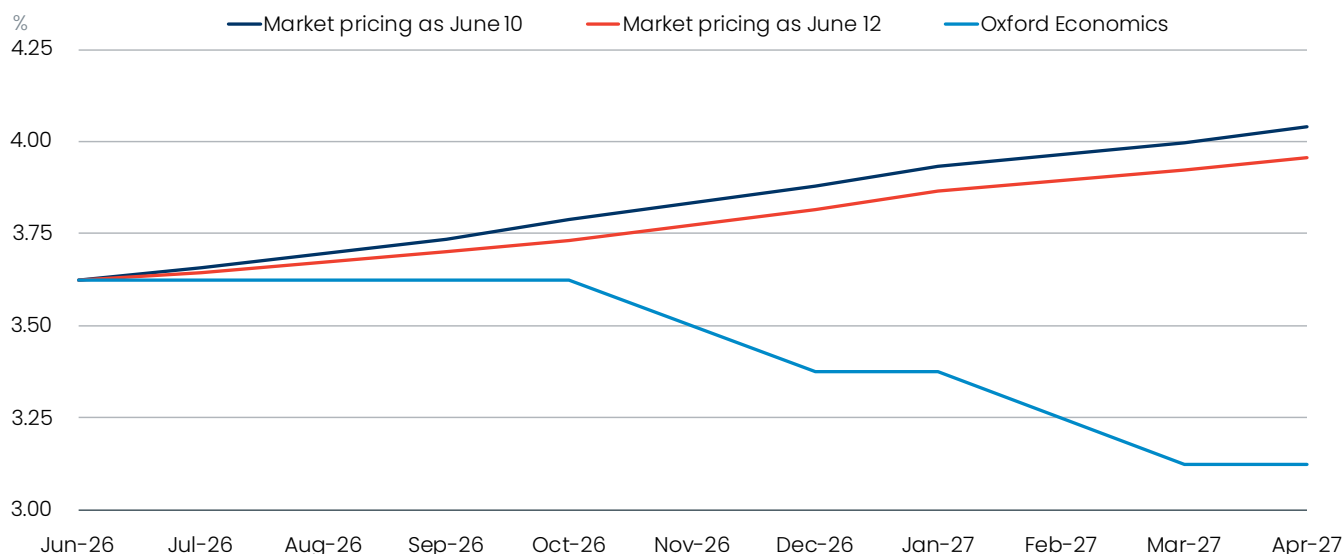
Sooner end to the war pushes back against hawkish Federal Reserve

A potential end to the war in Iran is unlikely to affect the outcome of June's Federal Open Market Committee Meeting, where we expect officials to leave rates on hold. However, it would support our argument that the recent [hawkish chatter](#) around the Federal Reserve is overdone, and the prospects of a rate hike remain lower than envisioned by markets. Higher energy prices and upward pressure from the AI buildout will keep core goods inflation sticky, but an acceleration in services inflation remains unlikely. Firmer labor market conditions haven't led to faster wage growth. We think inflation expectations remain anchored and strong productivity growth will keep unit labor costs subdued.

We expect the Fed to shift to a more neutral bias in its June policy statement and not show a rate cut this year in the accompanying dot plot. However, we anticipate an improving inflation outlook and the dovish influence from the newly appointed Chair Kevin Warsh means the door is still open to a rate cut by year-end. Markets are still far removed from our view, even as traders pared back pricing for rate hikes on Friday ([Chart 4](#)). As some of the lagged impacts of higher gas prices weigh on consumers over the coming months, we expect the balance of risks to shift and market pricing to move closer to our forecast.

Chart 4: Market pricing for rate cuts edged lower

US: Federal Reserve rate outlook



Sources: Oxford Economics, Haver Analytics

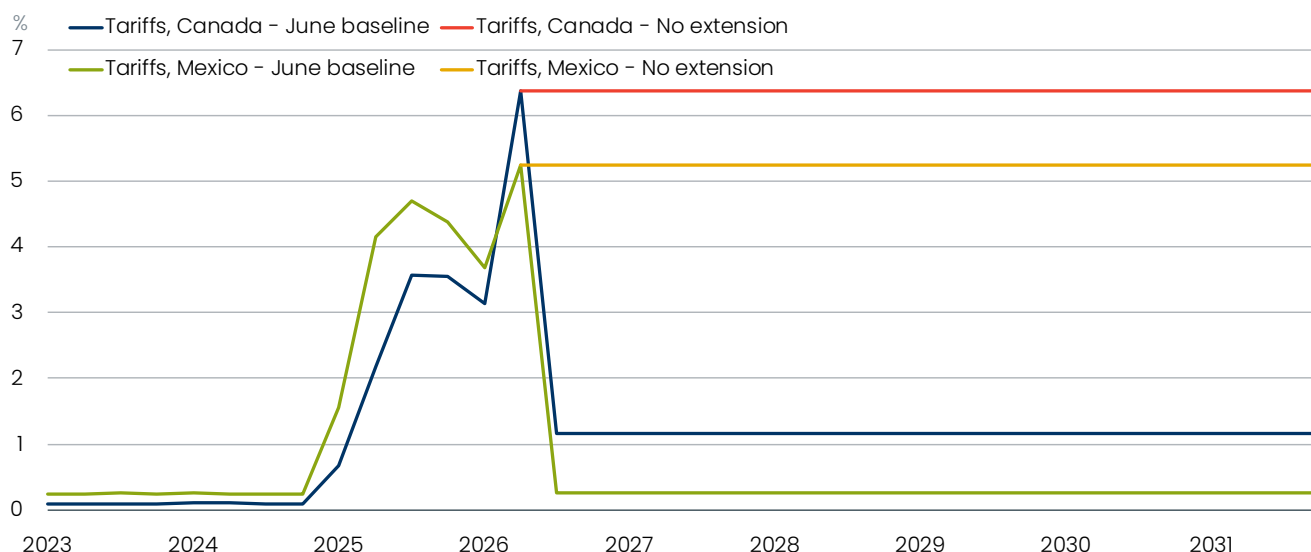
The trade war perks up

Tariff policy has taken a backseat this year due to the war in Iran, but the trade wars remain alive and well. President Donald Trump suggested this week that he wouldn't reauthorize the US trade deal with Canada and Mexico, setting the stage for a lengthier negotiation process. The failure to extend doesn't mean a total termination of the deal, which we think is an unlikely [worst-case scenario](#) outcome.

Instead, it means the deal will enter rolling annual reviews and remain in force until 2036 or until another deal can be negotiated. Crucially, this would leave USMCA-compliant goods exemptions in place. In this status quo scenario, US tariffs on Canada and Mexico would remain in place indefinitely rather than declining as envisioned in our June baseline forecast ([Chart 5](#)). Canada and Mexico would see modest negative impacts on economic growth, mainly through persistent uncertainty weighing on business investment. The US will be less affected given its more diversified export base and lower reliance on international trade, though persistent uncertainty will remain a small drag on business investment.

Chart 5: Risks are tilted toward higher tariffs than in our June baseline forecast

US: Tariff ramifications of no extension to the USCMA on July 1st



Sources: Oxford Economics, Haver Analytics

We believe an early termination of the USMCA before 2036 is still highly unlikely. President Trump could decide to withdraw from the deal – giving six months’ notice – but the decision will likely face legal and political pushback.

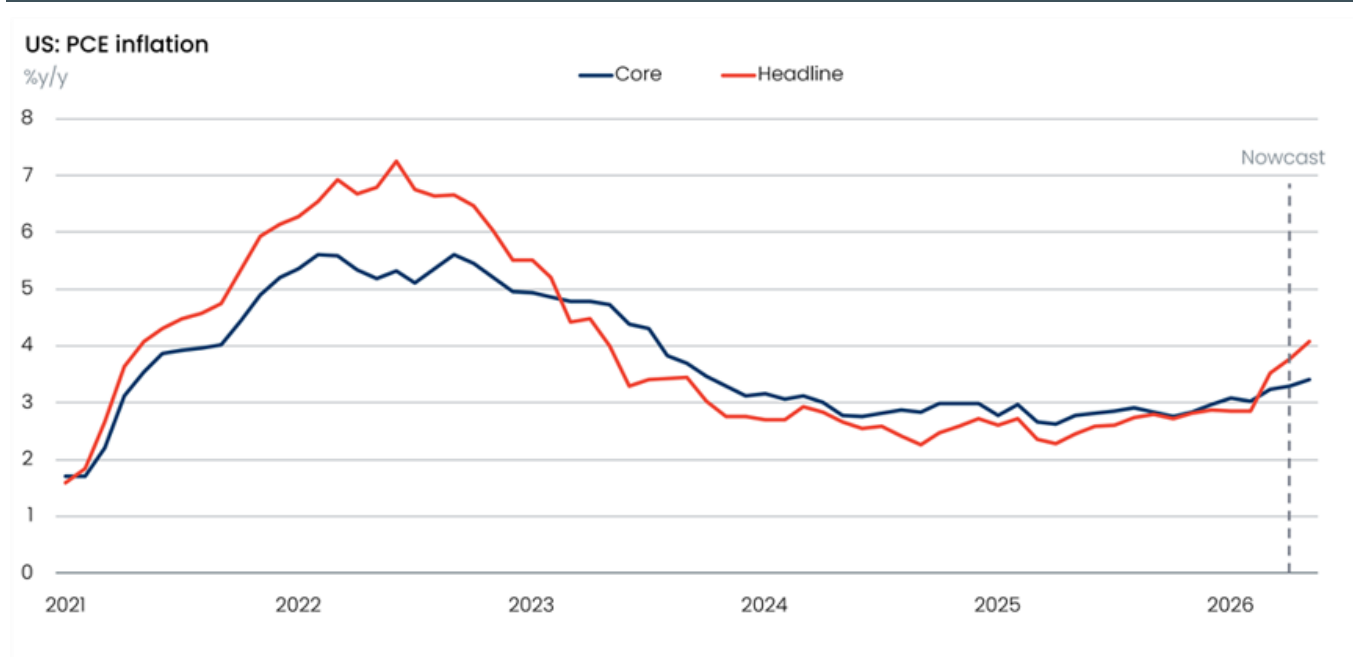
The week in review

This week’s calendar heavily revolved around the impact of the war on consumer and producer prices. The [CPI](#) rose 0.5% in May, lifting the annual rate to 4.2%. We think this probably marks the peak for headline inflation, as lower June gasoline prices feed through. The descent will be slow, however, with oil prices expected to ease only gradually even after the Strait of Hormuz reopens. Core CPI, up 0.2% on the month and 2.9% y/y, has likely peaked too but will remain sticky as energy costs bleed into core components, partly offset by shelter disinflation and the receding impact of tariffs.

Meanwhile, the jump in [producer price inflation](#) to 6.5% y/y, its highest since November 2022, shows the energy shock broadening well beyond fuel into transportation, food, and core goods, reinforcing the upside inflation story. Costs of diesel and fertilizer, which is up more than 28% y/y, point to firmer food inflation ahead given the lag between fertilizer prices and retail food, while a memory-chip shortage driven by AI demand is lifting electronics prices.

With the May CPI and PPI data in hand, our nowcast for [PCE inflation](#) points to a rise to 4.1% in May, the hottest since April 2023 ([Chart 6](#)). The upshot is an inflation backdrop that retreats slowly, keeping the Fed on hold for most of the year, with the next move still expected to be a cut in December.

Chart 6: PCE nowcast points to hotter inflation in May



Sources: Oxford Economics, Haver Analytics

Elsewhere, the slide in the [NFIB Small Business Optimism](#) Index below its long-run average in May warns that higher energy prices are starting to bite for small firms, which are paring back hiring and capital spending while a rising share are planning to pass energy costs on to customers. The drop in hiring intentions is a reason to discount April's jump in job openings and May's strong payrolls.

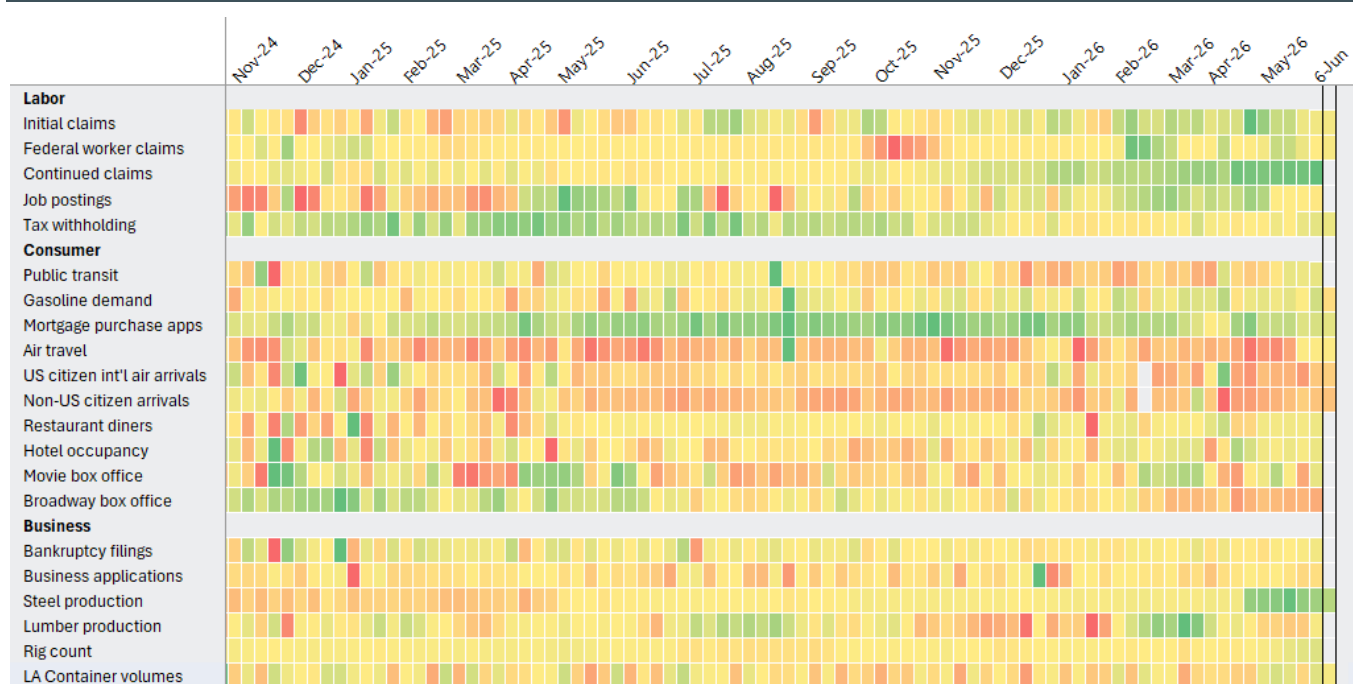
The [initial jobless claims](#) data were higher than we expected, but we think that mostly reflects seasonal adjustment issues linked to the start of summer. Claims are still lower than a year ago, consistent with a solid labor market.

The April goods and services [trade deficit](#) narrowed to \$55.9bn, which points to net trade posing a slightly smaller drag on Q2 GDP than the 0.6ppts in the forecast, as a war-driven surge in petroleum exports outpaced the rise in imports. The relief looks temporary, with high-frequency data suggesting energy exports softened in May.

The better-than-expected rise in May [existing home sales](#) likely marks a near-term ceiling rather than the start of an uptrend, given the renewed backup in mortgage rates that will weigh on June transactions. The Q2 housing data nonetheless point to mild upside risk to the forecast for a slight decline in residential investment this quarter. Unusually thin supply – the weakest May inventory build in years – should keep prices supported, with even the lagging West poised to move into positive annual price growth as inventory tightens.

The May [budget data](#) show the One Big Beautiful Bill Act's tax cuts increasingly weighing on receipts, with individual income taxes down 4.1% and corporate taxes down 11.8% year to date, while refunds of tariffs ruled unlawful by the Supreme Court fully offset customs receipts in May. The forecast holds the FY2026 deficit at \$2.1tn, up from FY2025; war-related costs are an upside risk to that figure, while the slow pace of tariff refunds – roughly \$140bn still in the pipeline – is a risk to the timing rather than the eventual total.

Chart 7: High-frequency dashboard



The week ahead

The economic data calendar next week tilts from inflation toward business, housing, and consumer activity, although the most eyes will be on the [June FOMC meeting](#), the first to be chaired by Kevin Warsh.

We expect **industrial production** to notch another increase in May after a strong April report, with the biggest contribution from mining activity, which perked up in response to higher oil prices. Inventory growth continued to sustain momentum at the start of Q2, with growth across all sectors covered in the **business inventories** report. The low level of inventories signaled by surveys suggests inventory rebuilding will be an important swing factor to economic growth this year and next.

We expect another solid rise in nominal **retail sales** in May, but with prices rising sharply, it's still consistent with a modest rise in consumer spending volumes. Consumer spending on goods and services other than gasoline is still benefiting from the boost from tax refunds and rebounding equity markets. Those forces help higher income households the most, reinforcing the bifurcation of the consumer. Most of the high-frequency data we track suggest consumer discretionary spending is holding up. Our estimate would be consistent with real consumer spending rising by close to 2% in Q2, a touch better than our baseline forecast, but still consistent with a subdued spending outlook as higher energy prices put pressure on consumers.

In the housing market, we think the latest backup in mortgage rates will keep the **NAHB homebuilder sentiment** index in negative territory in June. Based on building permits data, we don't think the March-April pace of **housing starts** is sustainable and look for starts to dip below 1.4mn in May. Finally, a backup in mortgage rates and decline in mortgage purchase applications over the course of the month point to a step back in **pending home sales** in May.

Wrapping up the calendar, we expect to see a softer rise in **import prices** in May, as global oil prices have stabilized. Still, elevated energy prices and ongoing strength in capital goods prices related to AI demand will keep upward pressure on import costs. We look for the rise in **initial jobless claims** in the week ended June 6, which we think was driven by seasonal noise, to be reversed in the week ended June 13.

Table 1: The week-ahead calendar

DATE	EVENTS	PERIOD	PREVIOUS	CONSENSUS	ESTIMATE
6/15/2026	Industrial Production m/m	May	0.7%	0.2%	0.3%
6/15/2026	Manufacturing Production m/m	May	0.6%	0.3%	0.1%
6/15/2026	Capacity Utilization	May	76.1%	76.2%	76.3%
6/15/2026	NAHB Housing Market Index	Jun	37	36	37
6/16/2026	Import Price Index m/m	May	1.9%	--	0.8%
6/16/2026	Housing Starts	May	1465k	1430k	1385k
6/16/2026	Building Permits	May P	1423k	1428k	1425k
6/17/2026	Retail Sales Advance m/m	May	0.5%	0.5%	0.6%
6/17/2026	Retail Sales Ex Auto m/m	May	0.7%	0.4%	0.6%
6/17/2026	Retail Sales Control Group m/m	May	0.5%	0.4%	0.5%
6/17/2026	Business Inventories m/m	Apr	0.9%	0.5%	0.5%
6/17/2026	Pending Home Sales m/m	May	1.4%	--	-0.5%
6/17/2026	FOMC Rate Decision (Upper Bound)		3.75%	3.75%	3.75%
6/18/2026	Initial Jobless Claims	6/13/2026	229k	--	225k

Sources: Bloomberg, Federal Reserve, Oxford Economics

Key forecasts

Table 2: Latest US forecast overview

(ANNUAL PERCENTAGE CHANGES UNLESS SPECIFIED)						
	2023	2024	2025	2026	2027	2028
GDP	2.9	2.8	2.1	2.1	2.7	2.6
Private consumption	2.6	2.9	2.6	1.8	2.3	2.6
Fixed investment	3.8	3.5	2.7	3.4	3.6	3.9
Government consumption	3.0	3.3	0.6	1.1	2.1	1.2
Industrial production	-0.2	-0.6	1.1	1.1	1.4	3.1
PCE deflator	3.8	2.6	2.6	3.5	2.2	1.8
Unemployment rate (%)	3.6	4.0	4.3	4.3	4.3	4.2
Current a/c balance (% of GDP)	-3.3	-4.0	-3.6	-3.5	-3.5	-3.2
Government balance (% of GDP)	-6.1	-6.2	-5.8	-6.4	-6.4	-6.1
Central bank policy rate (% EOP)	5.375	4.375	3.625	3.375	3.125	3.125
10yr government bond yield (% EOP)	3.88	4.58	4.18	4.27	4.20	4.20
Broad trade-weighted dollar index	120.3	122.9	122.8	119.6	120.0	120.4

Source: Oxford Economics

Table 3: Latest quarterly forecasts for the US

	2025	2026	2026	2026	2026	2027	2027	2027
	Q4	Q1	Q2	Q3	Q4	Q1	Q2	Q3
GDP (% chg, saar)	1.6	2.1	2.1	2.8	2.9	2.8	2.7	2.6
CPI inflation (% year)	2.7	3.8	4.1	3.9	3.5	2.2	1.4	1.3
Core CPI inflation (% year)	2.5	2.8	2.7	2.7	2.7	2.5	2.3	2.3
PCE inflation (% year)	3.1	3.5	3.7	3.5	2.8	2.3	1.8	1.7
Core PCE inflation (% year)	3.1	3.2	3.1	3.0	2.6	2.3	2.1	2.1
10-year Treasury yield (% EOP)	4.3	4.4	4.3	4.3	4.2	4.2	4.2	4.2
Federal funds rate (% EOP)	3.625	3.625	3.625	3.375	3.125	3.125	3.125	3.125

Source: Oxford Economics

Latest Country Economic Forecast:[June 2026 – Good news is bad news for the Fed](#)**Recent publications****Data Insights**

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Chartbooks

- [May Macro Chartbook](#)
- [May Employment Chartbook](#)

Annual Calendar

- [2026 US Economic, Fed, and Key Fixed Income Calendar](#)

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